

right cup rim). When it did (point A), or so I thought, I paper traded the stock and bought in just as it crested (point B). That turned out to be a minor high. Price dropped the next day and then slowly recovered, making another handle. A good place to sell is when price pierced the up trendline in early December, heading down.

Experience

One of the harder things to do is determine where the left rim is. If price is trending down, you'll see a lot of minor highs as price drops in a drop-retrace-drop pattern. Thus, when the stock starts to recover after building a bottom, which minor high on the left do you match to help predict the appearance of the right rim?

Hudson Global

[Figure 55.5](#) shows an example of this in Hudson Global (HSON). The rounded bottom appears from A to G, or does it? What about a lower turn, say, B to F, C to F, or even D to E? All of those labels look like valid rounding bottoms, but shorter than the AG pattern.

Why is the left rim important? Because the right rim often forms *near* the price level of the left rim. If you know where the price is likely to turn and form a handle, you can trade the rounding bottom from the turn near the bottom to the right rim. You'll know how much you are likely to make.

For the record, because I require an upward breakout from a rounding bottom, the AG pattern is *not* a rounding bottom (because it breaks out downward when it fails to close above A).

For the first buy (8 April 2008), I mistakenly had two buy orders outstanding and they both filled in the handle of the rounding bottom (CF). I placed a stop order with my broker and raised it as price climbed.

I placed a third buy order at 9.57, and on 1 May, the stop filled. I raised the stop and included the new shares.

As price climbed, I continued to raise my stop. On 19 May, I wrote that I was worried about price reversing, so I tightened the stop twice in the next two days, eventually taking me out of the trade on 22 May. "Sell reason: